BEFORE THE PUBLIC UTILITIES COMMISSION OF THE

STATE OF CALIFORNIA

Application of Southern California Edison Company (U 338-E) to Establish Marginal Costs, Allocate Revenues, and Design Rates.	Application 24-03-019

JOINT MOTION OF SOUTHERN CALIFORNIA EDISON COMPANY (U 338-E) AND SETTLING PARTIES FOR ADOPTION OF ELECTRIC VEHICLE RATE DESIGN SETTLEMENT AGREEMENT

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Dated: **September15, 2025**

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I.

INTRODUCTION

Pursuant to Rule 12.1 *et seq*. of the California Public Utilities Commission's (Commission's) Rules of Practice and Procedure, Southern California Edison Company (SCE), on behalf of itself, CALSTART, Inc. (CALSTART), the Public Advocates Office at the California Public Utilities Commission (Cal Advocates),[1] EVgo Services, LLC, Small Business Utility Advocates (SBUA), Electrify America, LLC, Solar Energy Industries Association (SEIA), Terawatt Infrastructure, Inc. (Terawatt), Vehicle-Grid Integration Council (VGIC), and Walmart Inc (jointly the Settling Parties),[2] file this joint motion requesting that the Commission find reasonable and adopt the "Electric Vehicle Rate Design Settlement Agreement" (Settlement Agreement), which is appended to this motion as Attachment A.

Section II, below, provides the procedural and regulatory background related to this proceeding. Section III describes in general the positions advocated by the parties in this proceeding and the terms of the Settlement Agreement. Section IV demonstrates that the

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1 Cal Advocates joins in this Motion and in the Settlement Agreement subject to its previously stated objection to SCE's Load Factor Based Rate Option Proposal set forth in the Settlement Agreement's Section C.4(a).

2 In accordance with Rule 1.8(d), each Settling Party has authorized SCE's counsel to sign and file this motion on its behalf.

Settlement Agreement is reasonable in light of the whole record, consistent with law, and in the public interest, and that it should be adopted without modification.

II.

PROCEDURAL AND REGULATORY BACKGROUND

This proceeding, Application (A.) 24-03-019, was initiated by the filing of SCE's application on March 29, 2024, along with service of its prepared direct testimony regarding marginal costs, revenue allocation and other aspects of rate design. On August 26, 2024, SCE filed an Amended Application and served amended testimony regarding certain revenue allocation proposals. On November 1, 2024, the Assigned Commissioner and Assigned Administrative Law Judge issued a Scoping Memo and Ruling following a June 3, 2024 prehearing conference identifying demand charges for TOU-EV-8 and TOU-EV-9 as a nonresidential rate design issue to be resolved in the proceeding. Cal Advocates served its initial testimony on November 22, 2024 and served amended testimony on December 27, 2024. On January 8, 2025, the following Settling Parties served testimony relating, among other matters, to SCE's TOU-EV Rates proposal: Cal Advocates, CALSTART, Electrify America, LLC, EVgo Services, LLC, and Walmart Inc.

SCE provided notice to all parties of its intent to conduct a settlement conference related to all issues raised in the proceeding, and an initial settlement conference was held on January 3, 2025. Continuing discussions related to the potential settlement of issues in this proceeding occurred among the interested parties after the settlement conference. On September 4, 2025, SCE provided notice to all parties pursuant to CPUC Rule of Practice and Procedure 12.1(b) of a settlement conference to review this Agreement. The settlement conference was held on September 11, 2025.

III.

SUMMARY OF POSITIONS AND SETTLEMENT

As noted, the Settlement Agreement resolves all issues related to Electric Vehicle (EV) rate design issues in this proceeding. A matrix of the Settling Parties' positions is depicted in Appendix A to the Settlement Agreement.

A. EV Rate Design

1. Guiding Principles

SCE and Settling Parties discussed rate design guiding principles as part of settlement discussions in the development of post 2030 EV rates. Ultimately, Settling Parties aligned on the rate design principles adopted in D.23-04-040[3], as identified below, and agreed that post 2030 EV rates should be addressed in a separate proceeding, such as a Rate Design Window (RDW) or new Order Instituting Rulemaking (OIR), that may include the other IOUs. Such treatment would allow for more thorough vetting before post-2030 rates are implemented and could bring consistency across the state through adoption of common policies and rate structures for electric transportation.

2. Rate Design

The following summarizes the Settling Parties' litigation positions on the key issues resolved by this Settlement Agreement as well as the settlement that was reached with respect to each EV rate. SCE did not propose any structural changes to TOU-EV-7, and it proposed to maintain the TOU-EV-8 and TOU-EV-9 energy only rate structures. Cal Advocates, CALSTART, Electrify America, EVgo, and Walmart supported delaying the introduction of demand charges to January 1, 2030, although some parties noted concerns about cost shifts and the need to address EV rate designs post 2030.

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[3] Updated Electric Rate Design Principles, pp. 2-3.

When this Agreement is first implemented in 2026, the below estimated Customer Charges shall be adjusted, as necessary, consistent with the customer charge treatment of the then-current revenues allocated to each rate group in accordance with the Marginal Cost and Revenue Allocation (MCRA) Settlement Agreement and specific customer charge treatment described in this Settlement Agreement or the class specific settlement agreements.[4] Thereafter, these Customer Charges shall be adjusted consistent with the Base Rates for their respective rate classes.

a) TOU-EV-7

Settling Parties agree that the customer charge for TOU-EV-7 shall be set at $10.79 per month ($0.355 per day). The reduced customer charge is intended to recover the cost of the additional meter and associated on-going customer service costs, while recognizing that for a portion of TOU-EV-7 customers, the service point and other associated facility costs are recovered through the customer charge of the primary (main site) infrastructure.

b) TOU-EV-8 & TOU-EV-9

Settling Parties agreed to accept SCE's proposal to maintain the current energy only rate structure. The customer charge for TOU-EV-8 shall be set at $232.74 per month and for TOU-EV-9, the customer charge shall be set at $1,113.65 per month for Secondary service, $313.25 for Primary service, and $8,512.50 for Subtransmission service.

Settling Parties also agreed that the Settlement Agreement does not restrict the Commission from modifying TOU-EV-8 and TOU-EV-9 in any proceeding relating to transportation electrification. Adjustments to account for customers participating in the TOU-EV-8 and TOU-EV-9 rates will be made such that the revenue deficiency is contained within the individual rate class (*e.g., TOU-GS-2, TOU-GS-3, TOU-8)* in which the deficiency exists. The energy-only rate structure continues to be available to Direct Current Fast Charger (DCFC) customers to continue to provide stability to the developing DCFC industry.

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[4] *See* Paragraph 4.B.6 of the MCRA Settlement Agreement.

B. Load Factor Based Rate Option Proposal

In testimony, CALSTART indicated concern for low load factor customers once demand charges began phasing in post 2030. As a result of settlement discussions, SCE proposed a load factor based rate option applicable to TOU-EV rates. The rate option will have the effect of converting a three-part rate, consisting of customer charge ($/mo.), energy charges ($/kWh) and demand charges $/kW), into a two-part rate consisting of customer and energy charges. The rate elements are described in Section 5.C.4. of the Settlement Agreement.

Specifically, Settling Parties agree to a new rate option available to customers eligible for rate schedules TOU-EV-8 and TOU-EV-9 during the charging entities initial ramp up years, when charging facility load factors are expected to be below 15%. Each participating facility will be eligible to participate on the rate option for an initial ramp-up period of only three years, which begins at the commencement of energization. The participating facilities' load factors will be monitored on a monthly basis to establish continued eligibility. If a facility's load factor exceeds the upper threshold for three consecutive months, then the facility will be moved to the then default EV rate option and the customer cannot return to the rate option even if the customer's load factor declines below the threshold. The customer can also select a rate option other than the default EV rate option. If the load factor rate rider option is selected by the customer, the rate option will apply when the customer is energized and will remain in effect over the three-year term unless the load factor threshold is exceeded.

While a party to this Settlement Agreement, Cal Advocates maintains its objection to the proposed load-factor based (sliding scale) demand charge option. Cal Advocates recommends studying this issue further in a future rate case with cost-of-service and contribution-to-margin analysis, which can be pursued in the same comprehensive EV rate design proceeding proposed by the Settling Parties in Paragraph A.1.

C. Schedule Option H

In SCE's 2021 GRC Phase 2 proceeding, SEIA proposed a new rate option "S" that "would start with the design of [the current] Option E rates, except that the noncoincident demand charge for distribution costs would be converted into a daily coincident peak demand charge, applicable during SCE's on- and mid-peak periods and designed to recover the same revenues as the existing monthly noncoincident distribution demand charge." SEIA's argument for establishment of an Option S rate included consistency across utilities, as the Commission had adopted an Option S for PG&E in D.18-08-013, and the noted intent that SEIA's proposal for an Option S design enabled a more efficient dispatch of behind-the-meter (BTM) storage resources. SCE argued that the Commission had previously found Option-E to be just and reasonable for DERs, and that rate options from one utility could not just be cut and pasted to another utility. The Commission rejected Option S but directed SCE "to include a fully analyzed proposal for an Option S-like tariff in its next Phase 2 of the GRC," regardless of whether SCE proposed an Option S-like tariff.[5]

In this Application, SCE presented an Option S-like rate as directed. SCE started with the underlying Option-E rate structure by setting the Facilities Related Demand (FRD) level based on the Option E FRD less the Equal Percent Marginal Costs (EPMC) portion of allocated revenues. The time-of-use daily demand charge is set to recover the EPMC portion of Option E FRD allocated revenues, and the summer-on and winter-mid distribution revenues recovered in energy rates. Residually, the remaining distribution revenues would be recovered through TOU energy charges by retaining the current TOU ratios of the Option E distribution energy rates. No changes were made to the generation portion of the Option E rate structure. SCE did not support SEIA's structural design for an Option-S like rate, where SEIA proposed that 80% of the costs in SCE's distribution FRD be recovered through the time-dependent daily demand charge.

Settling parties agree to introduce a TOU-Option H schedule for the TOU-GS-2, TOU-GS-3, TOU-8-SEC rate classes. The Option H schedule is designed for, but not limited to, low-to-medium load factor applications in the electric transportation sector and for customers with BTM stationary storage. For distribution charges, the rate structure introduces a Daily Peak

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[5] D.22-10-022, p. 18.

Time-Related Demand (TRD) charge to capture a portion of the Peak-capacity and Grid-related costs, and an FRD exclusion window where the FRD changes do not apply from 8 a.m. to 1 p.m. The FRD charge is set at 45% of the Option E FRD charge for TOU-8-SEC, 46% for TOU-GS-3, and 40% for TOU-GS-2. The remainder of the Option E FRD revenues is then designed for recovery in the Daily Peak-TRD charge. The residual portion of design demand revenues are recovered via volumetric TOU Energy charges that are set based on the TOU ratios of the respective class Option E rates and calculated to maintain revenue neutrality in each season.

For generation, the design is identical to the Option E rate design where the recovery of energy and capacity revenues is via a TRD Charge set at twenty-five percent (25%) of the Standby Backup Demand Charge with the balance of revenues recovered via TOU Energy Charges.

D. Zero-Emissions Vehicle Reporting

SCE proposed to discontinue reporting on participation levels for zero-emission vehicle loads on Option E rate schedules and EV specific rates. Cal Advocates rejected SCE's proposal to remove this reporting requirement, claiming it would be premature to stop reporting that could provide valuable insights on customer preferences and perceptions of rate options. Ultimately, Settling Parties agreed to modify the reporting requirements to provide details on customer migrations from EV rates to Option E rates.

IV.

REQUEST FOR ADOPTION OF THE SETTLEMENT AGREEMENT

The Settlement Agreement is submitted pursuant to Rule 12.1 *et seq*. of the Commission's Rules of Practice and Procedure. The Settlement Agreement is consistent with Commission decisions on settlements, which express the strong public policy favoring settlement of disputes if they are fair and reasonable in light of the whole record.[6] This policy supports many worthwhile goals, including reducing the expense of litigation, conserving scarce

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[6] *See, e.g.*, D.88-12-083 (30 CPUC 2d 189, 221-223) and D.91-05-029 (40 CPUC 2d, 301, 326).

Commission resources, and allowing parties to reduce the risk that litigation will produce unacceptable results.[7] As long as a settlement taken as a whole is reasonable in light of the record, consistent with the law, and in the public interest, it should be adopted without change.

The Settlement Agreement complies with Commission guidelines and relevant precedent for settlements. The general criteria for Commission approval of settlements are stated in Rule 12.1(d) as follows:

> The Commission will not approve stipulations or settlements, whether contested or uncontested, unless the stipulation or settlement is reasonable in light of the whole record, consistent with law, and in the public interest.[8]

The Settlement Agreement meets the criteria for a settlement pursuant to Rule 12.1(d), as discussed below.

A. <u>The Settlement Agreement is Reasonable In Light Of the Record</u>

The prepared testimony of SCE and Settling Parties, and the Settlement Agreement itself, and this motion contain the information necessary for the Commission to find the Settlement Agreement reasonable in light of the record.

The Settlement Agreement represents a reasonable compromise of the Settling Parties' positions. The prepared testimony of the Settling Parties, together with this motion and the attached Settlement Agreement (which includes the comparison exhibits), contain sufficient information for the Commission to judge the reasonableness of the settlement. Without divulging the content of confidential settlement negotiations, concessions by Settling Parties on some issues were offset by concessions by other Settling Parties on other issues, as is the case with almost every settlement. The Settlement Agreement accordingly represents a series of tradeoffs and must be viewed as a "package." No single provision should be viewed in isolation, although every individual provision is reasonable, lawful, and in the public interest. In summary,

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[7] D.92-12-019, 46 CPUC 2d 538, 553.

[8] *See also*, *Re San Diego Gas & Electric Company,* (D.90-08-068), 37 CPUC 2d 360.

the Settlement Agreement is a reasonable compromise of the Settling Parties' respective positions, as summarized in Section III and discussed in the following sections.

B. The Settlement Agreement is Consistent with Law

The Settling Parties believe that the terms of the Settlement Agreement comply with all applicable statutes and prior Commission decisions, and reasonable interpretations thereof. In agreeing to the terms of the Settlement Agreement, the Settling Parties have explicitly considered the relevant statutes and Commission decisions and believe that the Commission can approve the Settlement Agreement without violating applicable statutes or prior Commission decisions.

C. The Settlement Agreement Is In the Public Interest

This Settlement Agreement is "supported by parties that fairly represent the affected interests" at stake in this proceeding.[9] As the Commission has found, "[w]hile it is true that we employ a 'heightened' focus on the individual elements of a settlement when all interest groups are not accommodated, the focus itself is on whether the settling parties brought to the table representatives of all groups affected by the settlement. This is not necessarily the same as accommodating the litigation positions of all parties."[10] The Settlement Agreement is a reasonable compromise of the Settling Parties' respective positions, as summarized in Section III. The Settlement Agreement is in the public interest and in the interest of SCE's customers. The Agreement fairly resolves issues and provides more certainty to customers regarding their present and future costs, which is in the public interest.

The Settlement Agreement, if adopted by the Commission, avoids the cost of further litigation, and frees up Commission resources for other proceedings. Given that the Commission's workload is extensive, the impact on Commission resources is doubly important. The Settlement Agreement frees up the time and resources of other parties as well, so that they may focus on other proceedings and on the other tracks of this large proceeding. The prepared

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[9] *See* D.07-11-018, *Order Denying Rehearing of Decision 07-03-044*.

[10] *Id.* (citing *Re Southern California Edison Company, 1996*, 64 Cal.P.U.C.2d 241, 267).

direct testimony contains sufficient information for the Commission to judge the reasonableness of the Settlement Agreement and for it to discharge any future regulatory obligation with respect to this matter.

Each portion of the Settlement Agreement is dependent upon the other portions of the Settlement Agreement. Changes to one portion of the Settlement Agreement would alter the balance of interests and the mutually agreed upon compromises and outcomes that are contained in the Settlement Agreement. As such, the Settling Parties request that the Settlement Agreement be adopted as a whole by the Commission, as it is reasonable in light of the whole record, consistent with law, and in the public interest.

V.

CONCLUSION

WHEREFORE, the Settling Parties respectfully request that the Assigned Commissioner, Assigned ALJ, and the Commission:

1. Approve the attached Settlement Agreement as reasonable in light of the record, consistent with law, and in the public interest; and

2. Authorize SCE to implement changes in rates and tariffs via a Tier 1 Advice Letter in accordance with the terms of the Settlement Agreement.

Respectfully submitted on behalf of the Settling Parties,

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Dated: September 15, 2025

Attachment A

Electric Vehicle Rate Design Settlement Agreement

BEFORE THE PUBLIC UTILITIES COMMISSION OF THE

STATE OF CALIFORNIA

Application of Southern California Edison Company (U 338-E) to Establish Marginal Costs, Allocate Revenues, and Design Rates.	Application 24-03-019

<u>ELECTRIC VEHICLE RATE DESIGN SETTLEMENT AGREEMENT</u>

Dated: **September 12, 2025**

Electric Vehicle Rate Design Settlement Agreement

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BEFORE THE PUBLIC UTILITIES COMMISSION OF THE STATE OF CALIFORNIA

Application of Southern California Edison Company (U 338-E) to Establish Marginal Costs, Allocate Revenues, and Design Rates.	Application 24-03-019

ELECTRIC VEHICLE RATE DESIGN SETTLEMENT AGREEMENT

This Electric Vehicle Rate Design Settlement Agreement (EV) Agreement or Settlement Agreement) is entered into by and among the undersigned Parties hereto, with reference to the following:

1. PARTIES

The Parties to this Agreement are Southern California Edison Company (SCE), the Public Advocates Office at the California Public Utilities Commission (Cal Advocates),[1] CALSTART, Inc., Electrify America, LLC, EVgo Services, LLC, Small Business Utility Advocates (SBUA), Solar Energy Industries Association (SEIA), Vehicle-Grid Integration Council (VGIC), Terawatt Infrastructure, Inc. (Terawatt), and Walmart Inc., referred to hereinafter collectively as Settling Parties or individually as a Party.

A. SCE is an investor-owned public utility (IOU) and is subject to the jurisdiction of the California Public Utilities Commission (Commission or CPUC) with respect to providing electric service to its CPUC-jurisdictional retail customers.

B. Cal Advocates represents the interests of public utility customers. Its goal is to obtain the lowest possible rate for service consistent with safe, reliable service, and the State's environmental goals. Pursuant to California Public Utilities Code Section 309.5(a), Cal

[1] Cal Advocates is a party to all provisions of this Settlement Agreement except Section 5.C(4), "Load Factor Based Rate Option Proposal."

Advocates is directed to primarily consider the interests of residential and small commercial customers in revenue allocation and rate design matters.

C. CALSTART, Inc. headquartered in California, is a globally renowned 501(c)3 non-profit organization dedicated to the advancement of zero emission vehicle and infrastructure technology. With a global consortium of over 200 technology, government, industry, and community partners, CALSTART has worked for 30+ years to accelerate the commercialization and deployment of advanced technologies and solutions.

D. Electrify America, LLC is an electric vehicle charging network with more than 4,400 fast chargers at more than 1,000 locations across the United States.

E. EVgo Services, LLC is one of the nation's leading public fast charging providers. With more than 1,100 fast charging stations across over 40 states, EVgo strategically deploys localized and accessible charging infrastructure by partnering with leading businesses across the U.S., including retailers, grocery stores, restaurants, shopping centers, gas stations, rideshare operators, and autonomous vehicle companies.

F. SBUA is a nonprofit organization that represents, protects, and promotes the interests of the small business utility customers.

G. SEIA is the national trade association of the solar and storage industry. Through outreach and education, SEIA and its over 1200 member companies work to make solar energy a mainstream and significant energy source by expanding markets, removing market barriers, strengthening the industry, and educating the public on the benefits of solar energy and storage.

H. Vehicle Grid Integration Council is a 501(c)6 membership-based advocacy group committed to advancing the role of electric vehicles and vehicle-grid integration through policy development, education, outreach, and research.

I. Terawatt provides reliable charging solutions for the future of fleet transportation. The company designs, operates, and owns electric vehicle charging hubs for fleet operations combining property assets with energy and charging expertise. Terawatt was founded, in the absence of anything like it, to be the nation's reliable, long-term partner in the inevitable transition to all-electric transportation.

J. Walmart Inc. is a multinational retail corporation that operates 303 retail units, 17 distribution centers, and four fulfillment centers and employs over 104,000 associates in California.

2. DEFINITIONS

When used in initial capitalization in this Settlement Agreement, whether in singular or plural, the following terms shall have the meanings set forth below or, if not set forth below, then as they are defined elsewhere in this Settlement Agreement:

A. "Commission" or "CPUC" means the California Public Utilities Commission.

B. "Default Rate" means the rate schedule on which the customer is automatically placed when starting service unless the customer requests otherwise.

C. "DER" means "Distributed Energy Resource."

D. "EV" means "electric vehicle."

E. "MCRA Settlement Agreement" means the Marginal Cost and Revenue Allocation Settlement Agreement filed in this proceeding on June 30, 2025.

F. "OAT" means the customer's otherwise applicable tariff.

G. "Paired storage" means BTM electric storage technology including, but not limited to, electric battery systems, that are combined behind the same meter or billed on the same service account as other DERs, usually solar.

H. "RDW" means Rate Design Window proceeding.

I. "RECC" or "Real Economic Carrying Charge," means a constant payment in real dollars that includes the recovery of the capital investment, earnings, taxes, and other capital carrying costs. The RECC when escalated at the rate of inflation over the life of the asset recovers the net present value of revenue requirement of a utility investment. It also represents the value of deferring a utility investment by a year.

J. "Standalone storage" means BTM electric storage technology including, but not limited to, electric battery systems that are not combined behind the same meter or billed on the same service account as other DERs.

K. "ZEV" means Zero-Emissions Vehicle.

3. RECITALS

A. In Phase 2 of SCE's 2025 General Rate Case (GRC), the Commission allocates SCE's authorized revenue requirement among rate groups and authorizes rate design changes for rate schedules in each rate group.

B. On March 29, 2024, SCE served its initial prepared testimony regarding marginal costs, revenue allocation and rate design in Application (A.)24-03-019. On August 26, 2024, SCE filed an Amended Application and served amended testimony regarding certain revenue allocation proposals.

C. On November 1, 2024, the Assigned Commissioner and Assigned Administrative Law Judge issued a Scoping Memo and Ruling following a June 3, 2024 prehearing conference.

D. The Public Advocates Office served its initial testimony on November 22, 2024. Intervenors, including the Settling Parties to this Agreement, served their initial prepared testimony on January 8, 2025.

E. The following intervenors submitted prepared testimony regarding EV Rate Design Issues: Cal Advocates, CALSTART, Inc, Electrify America, LLC, EVgo Services, and Walmart Inc.

F. SCE provided notice to all parties of its intent to conduct a settlement conference related to all issues raised in the proceeding, and an initial settlement conference was held on January 16, 2025.

G. Continuing settlement discussions occurred among the parties after January 16, 2025.

H. Appendix A to this Agreement provides a comparison of the Settling Parties' positions, where applicable, related to EV Rate Group rate design issues that have been resolved by this Agreement. In the event of a conflict between the terms of this Agreement and

Appendix A, the terms of this Agreement shall control. Appendix B provides illustrative EV Rate Group rates resulting from this Settlement Agreement. Consistent with Paragraph 11 of this Settlement Agreement, these class average summaries are for illustrative purposes only. The rate summaries will be adjusted to reflect SCE's actual revenue requirements in accordance with the provisions of the MCRA Settlement Agreement when rates are first implemented pursuant to the provisions of this Agreement.

I. The Settling Parties have evaluated the impacts of the various proposals in this proceeding and desire to resolve all issues related to rate design regarding EV Rate Group customers as set forth in this Agreement beginning with the implementation of a CPUC decision approving this Agreement, and, in consideration of the mutual obligations, covenants and conditions contained herein, have reached agreement as indicated in Paragraphs 4 and thereafter of this Agreement.

4. BACKGROUND

In SCE's 2021 GRC Phase 2 proceeding, the Settling Parties agreed to a settled position with regard to EV rates that was consistent with Decision (D.)18-05-040, in which the Commission adopted a "Joint Stipulation"[2] outlining an agreed upon methodology for SCE's rate design for then-new EV rates, including the TOU-EV-8 and TOU-EV-9 rates addressed in this Settlement Agreement. Specifically, D.18-05-040 provided (with emphasis added):

> [Ordering Paragraph] 43. ***Southern California Edison Company (SCE) may offer its Commercial Electric Vehicle Rate proposal as modified by the Joint Stipulation set forth in Exhibit Joint-12.*** SCE may offer the transmission related proposals in Exhibit Joint-12 on a temporary three-year basis, provided SCE files a Single Issue 205 filing with the Federal Energy Regulatory Commission (FERC) for approval of the 70/30 proxy temporary rates and takes the appropriate steps to complete a transmission marginal cost study in its General Rate Case phase 2. In the event FERC does not approve the 70/30 proxy split, SCE may implement its proposed commercial rate EV rates using the transmission cost allocation currently approved by FERC.

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[2] The signatories to the Joint Stipulation were Cal Advocates, Natural Resources Defense Council. Siemens, Sierra Club, Environmental Defense Fund and the Coalition of California Utility Employees.

Settling Parties agreed to extend the energy-only structure of TOU-EV-8 and TOU-EV-9 beyond the five-year timeline initially established in D.18-05-040, a modification that was consistent with the Joint Stipulation's offramp for proposals made in a GRC Phase 2. The Settling Parties further agreed at that time, that if the energy-only rate structures remained in effect at the time SCE files its next GRC Phase 2, then SCE would either propose to begin the gradual introduction of demand charges or propose rate structure updates for TOU-EV-8 and TOU-EV-9 that address how demand charges should be implemented.[3]

5. AGREEMENT

Nothing in this Agreement shall be deemed to constitute an admission by any Settling Party that its position on any issue lacks merit, or a claim by a Settling Party that its position has greater or lesser merit than the position taken by any other Settling Party. This Agreement is subject to the express limitation on precedent as provided in Commission Rule 12.5 and as described in Paragraph 11. Unless specifically stated otherwise herein, this Agreement and its terms are intended to remain in effect until a decision is implemented in Phase 2 of SCE's next GRC.

A. Illustrative Rates

The Settling Parties agree that the results of the rate design process illustrated by the rate schedules in Appendix B to this Agreement are reasonable. These rates are based on the EV share of the consolidated revenue requirement of $17,466 million described in more detail in Paragraph 4.B of the MCRA Settlement Agreement. These illustrative rates shall be adjusted consistent with the terms of this Agreement and the CPUC's decision in this proceeding related to the MCRA Settlement Agreement to reflect SCE's actual total system revenue requirement when this Agreement is implemented.

B. Common Rate Design Elements

Consistent with SCE's Application, rate structures for the EV Rate Groups will generally consist of Customer Charges, TOU Energy Charges, and FRD Charges for the TOU-EV-7 rate schedule.

[3] Settling Parties also agreed that this Settlement Agreement does not restrict the Commission from modifying TOU-EV-8 and TOU-EV-9 in any proceeding relating to transportation electrification.

TOU-EV-8 and TOU-EV-9 rate schedules will continue to retain an all-energy TOU rate structure with applicable customer charges.

1) <u>TOU Periods and Seasonal Definitions</u>

SCE's existing TOU periods and summer/winter season definitions for EV customers shall not be modified from their current definitions. (*i.e.,* summer: June through September; winter: October through May).

2) <u>Customer Charges</u>

Customer Charges shall be derived based on SCE's as-proposed RECC customer marginal cost method, but adjusted to recover a portion (*i.e.*, the first 50 kVA) of the FLT costs in the FRD Charge. Customer Charges shall be set at the full EPMC level for all customers in the EV Rate Groups. Illustrative monthly Customer Charges are listed in Table 1, below:

Table 1: Illustrative Monthly Customer Charges

Rate Group	Customer Charge
TOU-EV-7	\$10.79
TOU-EV-8	\$232.74
TOU-EV-9	SEC: \$1,113.65 PRI: \$313.25 SUB: \$8,512.50

When this Agreement is first implemented in 2026, these estimated Customer Charges shall be adjusted, as necessary, consistent with the customer charge treatment of the then-current revenues allocated to each rate group in accordance with the MCRA Settlement Agreement and specific customer charge treatment described in this agreement or the class specific Settlement Agreements.[4] Thereafter, these Customer Charges shall be adjusted on a Functional SAPC basis.

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4 *See* Paragraph 4.B.6 of the MCRA Settlement Agreement.

3) Energy Charges

Proposed Energy Charges based on SCE's October 2024 consolidated revenue requirement are set forth in Appendix B.[5] When this Agreement is first implemented in 2026, these estimated Energy Charges shall be adjusted, as necessary, consistent with the then-current revenues allocated to each rate group in accordance with the MCRA Settlement Agreement.[6] Thereafter, these estimated Energy Charges shall be adjusted consistent with Paragraph 4.B.7 of the MCRA Settlement Agreement when SCE's authorized revenue requirements change.

a) Non-Generation-Related Energy Charges

Energy Charges that are designed to recover revenues associated with the following categories -- transmission (TOTCA), distribution,[7] public purpose programs, new system generation service, nuclear decommissioning, Wildfire Fund Non-bypassable Charge, Fixed Recovery Charge, and the CPUC reimbursement fee -- shall be established on the basis of the specific functional authorized revenue requirements and the terms specified in the MCRA Settlement Agreement.

b) Generation-Related Energy Charges

Except where otherwise specified in this Agreement, generation-related Energy Charges shall be established based on the TOU marginal energy costs used in the MCRA Settlement Agreement.

C. EV Rates [8]

1) Schedule TOU-EV-7

TOU-EV-7 is a separately metered rate applicable solely to the charging of EVs for customers with demands of 20 kW or less. With regard to distribution charges, SCE will keep in

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[5] The estimated consolidated revenue requirement, as defined in Paragraph 4.B.1 of the MCRA Settlement Agreement, is $17,466 million.

[6] *See* Paragraph 4.B.6 of the MCRA Settlement Agreement.

[7] The recovery of distribution revenues via Energy Charges varies based on the specific rate option, and is further discussed in the "Base and Optional Rates and Rate Design" section below.

[8] Cal Advocates joins the Settlement Agreement subject to its previously stated objection to the Load Factor Based Rate Option Proposal set forth herein.

place a feature that limits distribution charges for eligible TOU-EV-7 customers.[9] Because the EV rates feature a combination of distribution energy and demand charges, the demand comparison calculation and any resulting distribution "credit" will apply to both energy and demand charges.

Separately, the customer charge for TOU-EV-7 shall be set at $10.79 per month ($0.355 per day). The reduced customer charge is intended to recover the cost of the additional meter and associated on-going customer service costs, while recognizing that for a portion of TOU-EV-7 customers, the service point and other associated facility costs are recovered through the customer charge of the primary (main site) infrastructure. The revenue deficiency generated by this customer charge benefit will be collected through flat energy charges in order to maintain a revenue neutral rate design.

For distribution, all Peak-capacity, Grid-capacity, and the balance of the customer charge revenues are recovered via volumetric TOU Energy charges across both the summer and winter periods for the default Option E rates. The seasonal delta across the average summer and winter rates are held at the seasonal delta of the default TOU-GS-1 Option E rate. Additionally, the summer and winter TOU ratios are consistent with the TOU-GS-1 default Option E rate. For TOU-EV-7 Option D, an FRD charge is introduced to recover a portion of the Grid-related cost thereby reducing the volumetric TOU Energy charges by an equal cents-per-kWh offset.

For generation, all capacity and energy related costs are recovered via volumetric TOU Energy charges across both the summer and winter periods. The seasonal delta across the average summer and winter rates are consistent with the default TOU-GS-1 Option E rate. Additionally, the summer and winter TOU ratios are consistent with the default TOU-GS-1 Option E rate.

2) **<u>Schedules TOU-EV-8 & TOU-EV-9</u>**

Schedules TOU-EV-8 and TOU-EV-9 are separately metered rates applicable solely to the charging of EVs for customers. With regard to distribution charges, SCE will continue to offer a feature that limits distribution charges for TOU-EV-8 and TOU-EV-9 customers. The current

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[9] TOU-EV-7 customers who are collocated on the same premises as the General Service account.

versions of TOU-EV-8 and TOU-EV-9 reflect an energy-only rate structure. D.18-05-040 contemplated ending this energy-only rate structure, and beginning a gradual introduction of demand charges, five years after these two rates were originally authorized. For the energy-only structure Settling Parties agreed to extend the current versions of TOU-EV-8 and TOU-EV-9, beyond the five-year timeline established by D.18-05-040, and the incremental extension settled in the 2021 GRC Phase 2 proceeding. Settling Parties also agreed that this Settlement Agreement did not restrict the Commission from modifying TOU-EV-8 and TOU-EV-9 in any proceeding relating to transportation electrification. Adjustments to account for customers participating in the TOU-EV-8 and TOU-EV-9 rates will be made such that the revenue deficiency is contained within the individual rate class (*e.g., TOU-GS-2, TOU-GS-3, TOU-8)* in which the deficiency exists. The energy-only rate structure is also available to Direct Current Fast Charger (DCFC) to continue to provide stability to the developing DCFC industry. Settling Parties agreed to the following rate design criteria for TOU-EV-8 and TOU-EV-9 rates.

- ***TOU-EV-8***:
  - For distribution, all Peak-capacity and Grid-capacity costs are recovered via volumetric TOU Energy charges across both the summer and winter periods. The proportion of seasonal revenue recovery is held constant relative to the current (October 2024) TOU-EV-8 rate structure. For summer, the Off- and Mid- peak rates, and for winter, the Super-Off and Off- peak rates are set based on marginal cost, and Summer On-peak and Winter Mid-Peak rates are calculated to maintain revenue neutrality by season.
  - For generation, all capacity and energy related costs are recovered via marginal cost based volumetric TOU Energy charges across both the summer and winter periods.
- ***TOU-EV-9***:
  - For TOU-EV-9-SEC, the customer charge is set at 110 percent of unscaled marginal cost. The remainder of the customer charge revenue along with Peak capacity and Grid-related costs are recovered via volumetric TOU Energy

charges across both the summer and winter periods. For TOU-EV-9-SEC and TOU-EV-9-PRI, the seasonal revenue proportion is based on the marginal cost proportion of summer and winter revenues. Summer off-peak rates are set based on marginal cost and On- and Mid-peak rates are held equal and calculated to maintain revenue neutrality for the summer. Winter Mid, Winter-Off, and Super-off peak rates were set based on prescribed TOU ratios of 2.3/2.3/1.0 respectively and calculated to maintain revenue neutrality for the winter.

- For TOU-EV-9 SUB distribution, Peak-capacity and Grid-related costs are recovered via volumetric TOU Energy charges across both the summer and winter periods. The seasonal revenue proportion is based on the marginal cost proportion of summer and winter revenues. Summer off-peak rates are set based on marginal cost and On- and Mid-peak rates are held equal and calculated to maintain revenue neutrality. Winter Mid, Winter-Off, and Super-off peak rates were set based on prescribed TOU ratios of 3.75/3.75/1.0 respectively and calculated to maintain revenue neutrality for the winter.
- For TOU-EV-9-SEC, PRI and SUB generation, all capacity and energy related costs are recovered via marginal cost based volumetric TOU Energy charges across both the summer and winter periods.

3) <u>Schedule Option H</u>

Using SCE's analysis on Option S as the foundation for this new rate option, Settling Parties agree to introduce a TOU-Option H schedule for the TOU-GS-2, TOU-GS-3, TOU-8-SEC rate classes. For customers with BTM storage that are enrolled on Option H of the noted rate classes above, systems qualifying under this schedule must have a minimum discharge capacity equal to or greater than 10 percent of the Customer's annual peak demand, as recorded over the previous 12 months with the associated minimum kWh determined by a minimum discharge duration of four hours per day. The Option H schedule for all three rate classes is designed with the same rate design parameters. For distribution, the rate structure introduces a Daily Peak-TRD charge to capture a portion of the Peak-capacity and Grid-related costs, and an FRD exclusion window where the FRD charges do not apply from 8 a.m. to 1 p.m. The FRD charge is set at 45% of the Option E FRD charge for TOU-8-SEC, 46% for TOU-GS-3, and 40% for TOU-GS-2. The remainder of the Option E FRD revenues is then designed for recovery in the Daily Peak-TRD charge. The residual portion of design demand revenues are recovered via volumetric TOU Energy charges that are set based on the TOU ratios of the respective class Option E rates and calculated to maintain revenue neutrality in each season.

For generation, the design is identical to the Option E rate design where the recovery of energy and capacity revenues is via a TRD Charge set at twenty-five percent (25%) of the Standby Backup Demand Charge with the balance of revenues recovered via TOU Energy Charges.

4) Load Factor Based Rate Option Proposal

a) Framework

Settling Parties, except Cal Advocates, agree to introduce a load factor-based rate option applicable to eligible customers on TOU-EV rates. The rate option will have the effect of converting a three-part rate, consisting of customer charge ($/mo.), energy charges ($/kWh) and demand charges $/kW), into a two-part rate consisting of customer and energy charges. The intent of the option is to provide a stable affordable rate structure to medium- heavy-duty charge facilities during the charging entities' initial ramp up years when charging facility load factors are expected to be below 15%. Each participating facility will be eligible to participate on the rate rider for an initial ramp-up period of three years, which begins at the commencement of energization. The participating facility's load factors will be monitored on a monthly basis to establish continued eligibility - If a facility's load factor exceeds the upper threshold for three consecutive months, then the facility will be moved to the then default EV rate option and the customer cannot return to the rate option even if the customer's load factor declines below the threshold. The customer can also select a rate option other than the default EV rate option. If Load Factor rate rider option is selected by the customer, the rider will apply when the customer is energized and will remain in effect over the three-year term unless the load factor threshold is exceeded as discussed above.

b) **Rate Elements**

1) The LFR will be available to customers who would otherwise be served on the then default TOU-EV-8 and TOU-EV-9 rate schedules and are expected to have load factors equal to or below 15%.

2) The rate option will be applied to the applicable tariff through two rate components, these include:

    a) A demand charge credit on a $/kW basis to offset the Facilities Related Demand (FRD) and or Time Related Demand (TRD) charge(s) and;

    b) An energy charge on a flat $/kWh basis to recover the revenue deficiency produced by the demand charge credit, which is intended to maintain the EV rate revenue neutrality.

3) Participating customers will have access to the LFR over the initial three years of operations at the participating facility starting from the participating service account's energization date.

    a) At the end of the three-year period the participating service account will be moved to the then default EV tariff rate.

    b) Customers will also have the option of selecting an eligible tariff other than the default EV tariff rate.

4) SCE will monitor the charging facility load factors over each billing period to determine eligibility for the LFR.

    a) If the facility load factor exceeds the threshold for three consecutive billing periods, then the LFR will no longer apply and the facility will be moved to the then default EV tariff rate.

        i) Customers will also have the option of selecting an applicable tariff other than the default EV tariff.

ii) Customers may not return to the rate option thereafter, even if load factor declines below the threshold.

b) Effective date is date customer is energized and will remain in effect if the facility (service account) load factor is equal to or below the threshold for up to twelve consecutive billing periods within the LFR eligibility period (i.e., first three years of operations starting from the energization date).

i) The facility must be on a default EV rate option in order to receive the LFR adjustment.

5) Zero-Emissions Vehicle Reporting

SCE proposed to discontinue reporting on participation levels for zero-emission vehicle loads on Option E rate schedules and EV specific rates. Cal Advocates opposed SCE's proposal to remove this reporting requirement, claiming it would be premature to stop reporting that would provide valuable insights on customer preferences and perceptions of rate options. SCE has not reached the trigger to submit an Advice Letter and believes that this prescribed reporting should be discontinued. The tracking process is complicated, time-intensive, and insights gained from the current end use load extraction methods are time intensive and can require expensive field verification methods to ensure accuracy of the estimated EV load on Option E. Settling Parties agree to modify the reporting requirements to provide enrollment number details specific to customer migrations from EV rates to Option E rates.

D. Implementing Future Revenue Changes in Rates

As described in the MCRA Settlement Agreement,[10] when SCE's authorized revenues change in the future, SCE will first adjust rate levels for the default rate schedules (without CPP elements), *e.g.*, Schedules TOU-GS-2-D, TOU-GS-3-D, and Schedule TOU-8-Sec-D, using a Functional SAPC adjustment. SCE will then rebalance optional rate levels to ensure revenue neutrality between the

[10] *See* Paragraph 4.B.7 of the MCRA Settlement Agreement.

default rate schedule and the optional rate schedules within each rate class. For example, generation revenue changes resulting from SCE's ERRA proceedings shall be allocated on a Functional SAPC basis, *i.e.*, the revised SCE generation revenue requirement will be allocated by applying a generation-level SAPC scalar to the relevant generation-related charges, based on the difference between present rate revenues and proposed rate revenues for the default rate schedules. The optional rate schedules will then be adjusted to ensure revenue neutrality on a functional basis within each rate class, except for TOU-GS-3 as specified in Paragraph 4.C.2 above.

6. IMPLEMENTATION OF SETTLEMENT AGREEMENT

It is the intent of the Settling Parties that SCE should be authorized to implement the rates resulting from this Settlement Agreement as soon as practicable following the issuance of a final Commission decision approving this Settlement Agreement, but no earlier than June 1, 2026.

7. INCORPORATION OF COMPLETE AGREEMENT

This Agreement is to be treated as a complete package and not as a collection of separate agreements on discrete issues. To accommodate the interests related to diverse issues, the Settling Parties acknowledge that changes, concessions, or compromises by a Settling Party or Settling Parties in one section of this Agreement resulted in changes, concessions, or compromises by the Settling Parties in other sections. Consequently, the Settling Parties agree to oppose any modification of this Agreement not agreed to by all Settling Parties. If the Commission does not approve this Agreement without modification, the terms and conditions reflected in this Agreement shall no longer apply to the Settling Parties.

8. RECORD EVIDENCE

The Settling Parties request that all of their related prepared testimony be admitted as part of the evidentiary record for this proceeding.

9. SIGNATURE DATE

This Settlement Agreement shall become binding as of the last signature date of the Settling Parties.

10. REGULATORY APPROVAL

The Settling Parties, by signing this Agreement, acknowledge that they support Commission approval of this Agreement and subsequent implementation of all the provisions of the Agreement for the duration of rates implemented pursuant to a Commission order adopting this Agreement in this proceeding, *i.e*., Phase 2 of SCE's Test Year 2025 GRC. The Settling Parties shall use their best efforts to obtain Commission approval of the Agreement. The Settling Parties shall jointly request that the Commission approve the Agreement without change, and find the Agreement to be reasonable, consistent with law and in the public interest.

Should any Proposed Decision or Alternate Proposed Decision seek a modification to this Settlement Agreement, and should any Settling Party be unwilling to accept such modification, that Settling Party shall so notify the other Settling Parties within five business days of issuance of such Proposed Decision or Alternate Proposed Decision. The Settling Parties shall thereafter promptly discuss the proposed modification and negotiate in good faith to achieve a resolution acceptable to the Settling Parties, and shall promptly seek Commission approval of the resolution so achieved. However, in the event the Commission modifies the Load Factor Based Rate Option Proposal, Cal Advocates shall have no obligation to negotiate a resolution acceptable to Settling Parties. Failure to resolve such proposed modification to the satisfaction of the Settling Parties, or to obtain Commission approval of such resolution promptly thereafter, shall entitle any Settling Party to terminate its participation from this Agreement through prompt notice to the other Settling Parties.

11. COMPROMISE OF DISPUTED CLAIMS

This Settlement Agreement represents a compromise of disputed claims between the Settling Parties. The Settling Parties have reached this Settlement Agreement after taking into account the possibility that each Party may or may not prevail on any given issue. The Settling Parties assert that this Settlement Agreement is reasonable, consistent with law and in the public interest.

12. NON-PRECEDENTIAL

Consistent with Rule 12.5 of the Commission's Rules of Practice and Procedure, this Settlement Agreement is not precedential in any other pending or future proceeding before this Commission, except as expressly provided in this Settlement Agreement.

The Settling Parties expressly recognize that each Party may advocate a position that is inconsistent with this Agreement in Phase 2 of SCE's 2025 GRC, or earlier if invited to do so by the Commission in, for example, a relevant Rulemaking proceeding.

13. PREVIOUS COMMUNICATIONS

The Settlement Agreement contains the entire agreement and understanding between the Settling Parties as to the subject matter of this Settlement Agreement. In the event there is any conflict between the terms and scope of this Settlement Agreement and the terms and scope of the accompanying joint motion in support of the Settlement Agreement, the Settlement Agreement shall govern.

14. NON-WAIVER

None of the provisions of this Settlement Agreement shall be considered waived by any Party unless such waiver is given in writing. The failure of a Party to insist in any one or more instances upon strict performance of any of the provisions of this Settlement Agreement or take advantage of any of their rights hereunder shall not be construed as a waiver of any such provisions or the relinquishment of any such rights for the future, but the same shall continue and remain in full force and effect.

15. EFFECT OF SUBJECT HEADINGS

Subject headings in this Settlement Agreement are inserted for convenience only, and shall not be construed as interpretations of the text.

16. GOVERNING LAW

This Settlement Agreement shall be interpreted, governed and construed under the laws of the State of California, including Commission decisions, orders and rulings, as if executed and to be performed wholly within the State of California.

17. NUMBER OF ORIGINALS

This Settlement Agreement is executed in counterparts, each of which shall be deemed an original. The undersigned represent that they are authorized to sign on behalf of the Party represented.

Dated: September 12, 2025

SOUTHERN CALIFORNIA EDISON COMPANY

/s/ Daniel Hopper

By: Daniel Hopper
Title: Managing Director, Regulatory Policy

Dated: September __, 2025

Public Advocates Office (Public Advocates Office joins all provisions of this Settlement Agreement except Section 5.C(4))

By: Michael Campbell
Title: Deputy Director

Dated: September 12, 2025

CALSTART, Inc.

/s/ Marc Gottschalk

By: Marc Gottschalk
Title: Chief Legal Counsel

Dated: September 12, 2025

SOLAR ENERGY INDUSTRIES ASSOCIATION

/s/ Jeanne Armstrong

By: Jeanne Armstrong
Title: Senior Regulatory Counsel

Dated: September 12, 2025

Electrify America, LLC

/s/ Steve Bright

By: Steve Bright
Title: Senior Counsel

17. NUMBER OF ORIGINALS

This Settlement Agreement is executed in counterparts, each of which shall be deemed an original. The undersigned represent that they are authorized to sign on behalf of the Party represented.

Dated: September __, 2025

SOUTHERN CALIFORNIA EDISON COMPANY

By: Daniel Hopper
Title: Managing Director, Regulatory Policy

Dated: September 11, 2025

Public Advocates Office (Public Advocates Office joins all provisions of this Settlement Agreement except Section 5.C(4))

By: Michael Campbell
Title: Deputy Director

Dated: September __, 2025

CALSTART, Inc.

By: Marc Gottschalk
Title: Chief Legal Counsel

Dated: September , 2025

SOLAR ENERGY INDUSTRIES ASSOCIATION

By: Jeanne Armstrong
Title: Senior Regulatory Counsel

Dated: September __, 2025

Electrify America, LLC

By: Steve Bright
Title: Senior Counsel

Dated: September 12, 2025

SMALL BUSINESS UTILITY ADVOCATES

B. Marra

By: Britt Marra
Title: Executive Director

Dated: September 12, 2025

VEHICLE GRID INTEGRATION COUNCIL.

By: Zach Woogen
Title: Executive Director

Dated: September 12, 2025

WALMART INC.

By: Julie Clark
Title: Attorney

Dated: September 12, 2025

Terawatt Infrastructure Inc.

By: Jason Berry
Title: Vice President, Energy

Dated: September 12, 2025

EVgo SERVICES LLC

By: Sara Rafalson
Title: Executive Vice President, External Affairs

Dated: September 12, 2025	SMALL BUSINESS UTILITY ADVOCATES

By: Britt Marra
Title: Executive Director

Dated: September 12, 2025	VEHICLE GRID INTEGRATION COUNCIL.

By: Zach Woogen
Title: Executive Director

Dated: September 12, 2025	WALMART INC.

By: Julie Clark
Title: Attorney

Dated: September 12, 2025	Terawatt Infrastructure Inc.

By: Jason Berry
Title: Vice President, Energy

Dated: September 12, 2025	EVgo SERVICES LLC

By: Sara Rafalson
Title: Executive Vice President, External Affairs

Dated: September 12, 2025 SMALL BUSINESS UTILITY ADVOCATES

____

By:	Britt Marra
Title:	Executive Director

Dated: September 12, 2025 VEHICLE GRID INTEGRATION COUNCIL.

By:	Zach Woogen
Title:	Executive Director

Dated: September 12, 2025 WALMART INC.

/s/ Julie Clark

By:	Julie Clark
Title:	Attorney

Dated: September 12, 2025 Terawatt Infrastructure Inc.

/s/ Jason Berry

By:	Jason Berry
Title:	Vice President, Energy

Dated: September 12, 2025 EVgo SERVICES LLC

/s/ Sara Rafalson

By:	Sara Rafalson
Title:	Executive Vice President, External Affairs

Appendix A

Comparison of Party Positions On EV Rate Group Rate Design Issues

and Settlement

Comparison of Positions
EV Rate Design Issues

Issue	SCE	Cal Advocates	CALSTART	EVgo	Walmart	SEIA	SBUA	Electrify America	2025 GRC Settled Position
TOU-EV-7	• Proposed that Schedule TOU-EV-7-Option-E remain an energy-only option for separately metered commercial EV charging, with Option-D available as an opt-in rate for EV customers with higher utilization and energy throughput (w/demand charges)	• N/A	• N/A	• N/A	• N/A	• N/A	• TOU-EV-7 - Aligns w/SCE to increase customer charge. Also, EV rates should be standalone & revenue neutral.	• N/A	• For distribution, all Peak-capacity, Grid-capacity, and the balance of the customer charge revenues are recovered via volumetric TOU. For TOU-EV-7 Option D, a FRD charge is introduced to recover a portion of the Grid-related cost thereby reducing the volumetric TOU Energy charges by an equal cents-per-kWh offset • For generation, all capacity and energy related costs are recovered via volumetric TOU Energy charges across both the summer and winter periods.
TOU-EV-8	• Proposed to maintain current TOU-EV-9 rate design and revise the energy charges to reflect updated marginal costs and revenue allocations	• Supports SCE's proposal to delay demand charges for TOU-EV-8 & 9,as they believe that continued financial support is reasonable to the extent it does not create unreasonable cost shifts to other customers.	• Supports SCE's proposal to extend the energy only structure for TOU-EV-9 until 2030. However recommends a phase in from 2030-2035 based on a sliding scale based on load factor. Recommends adopting 5 graduations for load factors below 25%. • Notes that it may be worth considering time-varying recovery of trans costs for charging site w/low utilization rates.	• Supports delay in introducing demand charges. Note that long-term, stable CEV rates are needed as market matures. Instead of initiating demand charges in 2030, CPUC should review CEV rate design either via the TE OIR or an SCE focused stakeholder process. If CPUC does not do this, SCE should revisit the future design of CEV rates prior to 2030 in a SCE-focused stakeholder process designed to result in a proposal in the next GRC Ph2 or an RDW.	• Supports SCE's proposal to delay introduction of demand charges. Believes this will also help DCFC infrastructure investment.	• N/A	•	• Generally supports SCEs proposal. Has concerns that increased rates & delay to introduce demand charges will harm sites that typically have higher utilization & higher load factors. (Increases total utility bill costs) Recommends reassessment of rate increases to EV-8 & 9 rates.	• For distribution, all Peak-capacity and Grid-capacity costs are recovered via volumetric TOU Energy charges across both the summer and winter periods. The proportion of seasonal revenue recovery is held constant relative to the current (October 2024) TOU-EV-8 rate structure. • For generation, all capacity and energy related costs are recovered via marginal cost based volumetric TOU Energy charges

Issue	SCE	Cal Advocates	CALSTART	EVgo	Walmart	SEIA	SBUA	Electrify America	2025 GRC Settled Position
									across both the summer and winter periods.
TOU-EV-9	• Proposed to maintain current TOU-EV-9 rate design and revise the energy charges to reflect updated marginal costs and revenue allocations	• Supports SCE's proposal to delay demand charges for TOU-EV-8 & 9,as they believe that continued financial support is reasonable to the extent it does not create unreasonable cost shifts to other customers.	• Supports SCE's proposal to extend the energy only structure for TOU-EV-9 until 2030. However recommends a phase in from 2030-2035 based on a sliding scale based on load factor. Recommends adopting 5 graduations for load factors below 25%. • Notes that it may be worth considering time-varying recovery of trans costs for charging site w/low utilization rates.	• Supports delay in introducing demand charges. Note that long-term, stable CEV rates are needed as market matures. Instead of initiating demand charges in 2030, CPUC should review CEV rate design either via the TE OIR or an SCE focused stakeholder process. If CPUC does not do this, SCE should revisit the future design of CEV rates prior to 2030 in a SCE-focused stakeholder process designed to result in a proposal in the next GRC Ph2 or an RDW.	• Supports SCE's proposal to delay introduction of demand charges. Believes this will also help DCFC infrastructure investment.	• N/A	•	• Generally supports SCEs proposal. Has concerns that increased rates & delay to introduce demand charges will harm sites that typically have higher utilization & higher load factors. (Increases total utility bill costs) Recommends reassessment of rate increases to EV-8 & 9 rates.	• For TOU-EV-9-SEC, PRI, and SUB distribution, Peak-capacity and Grid-related costs are recovered via volumetric TOU Energy charges across both the summer and winter periods. The seasonal revenue proportion is based on the marginal cost proportion of summer and winter revenues • For TOU-EV-9-SEC, PRI and SUB generation, all capacity and energy related costs are recovered via marginal cost based volumetric TOU Energy charges across both the summer and winter periods.
Option H	• SCE submitted a fully analyzed proposal for an Option S-like tariff.	• N/A	• N/A	• N/A	• N/A	• Supports adoption of this rate option, however, has concerns about SCE's analysis as it relates to FRD charges. Believes design should be based off Option E rate, then at least 80% of NCDCs for dist. cost should be converted to a fairly coincident pk demand charge.	•	• N/A	• Parties agreed to implementing an Option S rate for TOU-GS-2, TOU-GS-3, and TOU-8-SEC and made available to EV customers and customers with BTM storage with specific eligibility requirements. • Rate Design: For distribution, the rate structure introduces a Daily Peak-TRD charge to capture a portion of the Peak-capacity and Grid-related costs, and

Issue	SCE	Cal Advocates	CALSTART	EVgo	Walmart	SEIA	SBUA	Electrify America	2025 GRC Settled Position
									an FRD exclusion window where the FRD changes do not apply from 8 a.m. to 1 p.m. The remainder of the Option E FRD revenues is then designed for recovery in the Daily Peak-TRD charge. The residual portion of design demand revenues are recovered via volumetric TOU Energy charges that are set based on the TOU ratios of the respective class Option E rates and calculated to maintain revenue neutrality in each season • For generation, the design is identical Option E rate design where the recovery of energy and capacity revenues is via a TRD Charge set at twenty-five percent (25%) of the Standby Backup Demand Charge with the balance of revenues recovered via TOU Energy Charges
Zero Emissions Reporting	• SCE proposed to discontinue this reporting obligation	• Rejects SCE's proposal to remove this reporting requirement since it is premature to stop it since reporting would provide valuable insights on customer preferences & perceptions of rate options.	• N/A	• N/A	• N/A	• N/A	•	• N/A	• Settling Parties agree to modify the reporting requirements to provide enrollment number details specific to customer migrations from EV rates to Option E rates.

Appendix B

Illustrative EV Rate Group Rates

Table 1: Illustrative Rates TOU-EV-7 Option-E

	TOU-GS-1 EV-7 Option E									
	Current (October 2024)					Proposed				
	Trans	Distrb	Gen	Other	Total	Trans	Distrb	Gen	Other	Total
Summer										
Customer Charge		$9.25			$9.25		$10.79			$10.79
On-kWh	0.01404	0.22740	0.33229	0.03615	$0.60988	0.01404	0.24461	0.35771	0.03615	$0.65252
Mid-kWh	0.01404	0.22740	0.11795	0.03615	$0.39554	0.01404	0.22200	0.11866	0.03615	$0.39085
Off-kWh	0.01404	0.09460	0.09692	0.03615	$0.24171	0.01404	0.11561	0.09214	0.03615	$0.25794
Max-kW										
Winter										
Customer Charge		$9.25			$9.25		$10.79			$10.79
On-kWh										
Mid-kWh	0.01404	0.22740	0.17901	0.03615	$0.45660	0.01404	0.08493	0.17477	0.03615	$0.30989
Off-kWh	0.01404	0.09460	0.11403	0.03615	$0.25882	0.01404	0.07920	0.10692	0.03615	$0.23631
SOff-kWh	0.01404	0.03249	0.05220	0.03615	$0.13488	0.01404	0.08849	0.04726	0.03615	$0.18594
Max-kW										
Three Phase Adder		$1.40			$1.40		$3.59			$3.59
EV Submeter Credit		($3.56)			($3.56)		($1.71)			($1.71)

Table 2: Illustrative Rates TOU-EV-7 Option-D

	TOU-GS-1 EV-7 Option D									
	Current (October 2024)					Proposed				
	Trans	Distrb	Gen	Other	Total	Trans	Distrb	Gen	Other	Total
Summer										
Customer Charge		$9.25			$9.25		$10.79			$10.79
On-kWh	0.01404	0.21820	0.33229	0.03615	$0.60068	0.01404	0.23997	0.35771	0.03615	$0.64787
Mid-kWh	0.01404	0.21820	0.11795	0.03615	$0.38634	0.01404	0.21736	0.11866	0.03615	$0.38620
Off-kWh	0.01404	0.09078	0.09692	0.03615	$0.23789	0.01404	0.11096	0.09214	0.03615	$0.25329
Max-kW		0.94			$0.94		0.96			$0.96
Winter										
Customer Charge		$9.25			$9.25		$10.79			$10.79
On-kWh										
Mid-kWh	0.01404	0.21820	0.17901	0.03615	$0.44740	0.01404	0.08028	0.17477	0.03615	$0.30525
Off-kWh	0.01404	0.09078	0.11403	0.03615	$0.25500	0.01404	0.07455	0.10692	0.03615	$0.23167
SOff-kWh	0.01404	0.03117	0.05220	0.03615	$0.13356	0.01404	0.08384	0.04726	0.03615	$0.18129
Max-kW		0.94			$0.94		0.96			$0.96
Three Phase Adder		$1.40			$1.40		$3.59			$3.59
EV Submeter Credit		($3.56)			($3.56)		($1.71)			($1.71)

Table3: Illustrative Rates TOU-EV-8

	TOU-GS-2 EV-8									
	Current (October 2024)					Proposed				
	Trans	Distrb	Gen	Other	Total	Trans	Distrb	Gen	Other	Total
Summer										
Customer Charge		$239.34			$239.34		$232.74			$232.74
On-kWh	0.01281	0.24131	0.36749	0.03653	$0.65814	0.01281	0.33557	0.34893	0.03653	$0.73383
Mid-kWh	0.01281	0.24131	0.10436	0.03653	$0.39501	0.01281	0.20780	0.11528	0.03653	$0.37242
Off-kWh	0.01281	0.09640	0.08073	0.03653	$0.22647	0.01281	0.06403	0.09002	0.03653	$0.20339
Winter										
Customer Charge		$239.34			$239.34		$232.74			$232.74
On-kWh										
Mid-kWh	0.01281	0.24131	0.15037	0.03653	$0.44102	0.01281	0.22881	0.16511	0.03653	$0.44326
Off-kWh	0.01281	0.09640	0.09488	0.03653	$0.24062	0.01281	0.07761	0.10451	0.03653	$0.23146
SOff-kWh	0.01281	0.02962	0.04081	0.03653	$0.11977	0.01281	0.03325	0.04620	0.03653	$0.12879
Single Phase Credit		(8.29)			($8.29)		(72.21)			($72.21)
EV Submeter Credit		(37.80)			($37.80)		(14.58)			($14.58)

Table 4: Illustrative Rates TOU-EV-9-SEC

	TOU-8-SEC EV-9									
	Current (October 2024)					Proposed				
	Trans	Distrb	Gen	Other	Total	Trans	Distrb	Gen	Other	Total
Summer										
Customer Charge		$460.86			$460.86		$1,113.65			$1,113.65
On-kWh	0.01127	0.20478	0.28165	0.03370	$0.53140	0.01127	0.34937	0.30845	0.03372	$0.70281
Mid-kWh	0.01127	0.20478	0.09544	0.03370	$0.34519	0.01127	0.34937	0.08390	0.03372	$0.47826
Off-kWh	0.01127	0.06938	0.07411	0.03370	$0.18846	0.01127	0.05522	0.07150	0.03372	$0.17171
Winter										
Customer Charge		$460.86			$460.86		$1,113.65			$1,113.65
On-kWh										
Mid-kWh	0.01127	0.20478	0.13895	0.03370	$0.38870	0.01127	0.07998	0.16466	0.03372	$0.28963
Off-kWh	0.01127	0.06938	0.08509	0.03370	$0.19944	0.01127	0.07998	0.08104	0.03372	$0.20602
SOff-kWh	0.01127	0.02663	0.03941	0.03370	$0.11101	0.01127	0.03477	0.04448	0.03372	$0.12425

Table 5: Illustrative Rates TOU-EV-9-PRI

	TOU-8-PRI EV-9									
	Current (October 2024)					Proposed				
	Trans	Distrb	Gen	Other	Total	Trans	Distrb	Gen	Other	Total
Summer										
Customer Charge		$475.29			$475.29		$313.25			$313.25
On-kWh	0.01013	0.17811	0.25832	0.03230	$0.47886	0.01013	0.29397	0.30879	0.03242	$0.64531
Mid-kWh	0.01013	0.17811	0.09157	0.03230	$0.31211	0.01013	0.29397	0.08089	0.03242	$0.41741
Off-kWh	0.01013	0.05663	0.07008	0.03230	$0.16914	0.01013	0.05054	0.06742	0.03242	$0.16050
Winter										
Customer Charge		$475.29			$475.29		$313.25			$313.25
On-kWh										
Mid-kWh	0.01013	0.17811	0.13844	0.03230	$0.35898	0.01013	0.07019	0.15989	0.03242	$0.27263
Off-kWh	0.01013	0.05663	0.08020	0.03230	$0.17926	0.01013	0.07019	0.07678	0.03242	$0.18952
SOff-kWh	0.01013	0.02368	0.03788	0.03230	$0.10399	0.01013	0.03052	0.04214	0.03242	$0.11521

Table 6: Illustrative Rates TOU-EV-9-SUB

	TOU-8-SUB EV-9									
	Current (October 2024)					Proposed				
	Trans	Distrb	Gen	Other	Total	Trans	Distrb	Gen	Other	Total
Summer										
Customer Charge		$4,951.05			$4,951.05		$8,512.50			$8,512.50
On-kWh	0.00895	0.05828	0.25163	0.02696	$0.34582	0.00895	0.09760	0.25359	0.02955	$0.38968
Mid-kWh	0.00895	0.05828	0.08606	0.02696	$0.18025	0.00895	0.09760	0.06975	0.02955	$0.20585
Off-kWh	0.00895	0.01211	0.06525	0.02696	$0.11327	0.00895	0.00510	0.05798	0.02955	$0.10158
Winter										
Customer Charge		$4,951.05			$4,951.05		$8,512.50			$8,512.50
On-kWh										
Mid-kWh	0.00895	0.05828	0.12264	0.02696	$0.21683	0.00895	0.01365	0.14025	0.02955	$0.19240
Off-kWh	0.00895	0.01211	0.07429	0.02696	$0.12231	0.00895	0.01365	0.06678	0.02955	$0.11893
SOff-kWh	0.00895	0.00288	0.03554	0.02696	$0.07433	0.00895	0.00364	0.03664	0.02955	$0.07879

Table 7: Illustrative Rates TOU-GS-2 Option S

	TOU-GS-2 Option S				
	Proposed				
	Trans	Distrb	Gen	Other	Total
Summer					
Customer Charge		$232.74			$232.74
On-kWh	(0.00003)	0.33373	0.30587	0.03624	$0.67581
Mid-kWh	(0.00003)	0.31008	0.11189	0.03624	$0.45818
Off-kWh	(0.00003)	0.09703	0.08685	0.03624	$0.22009
SOff-kWh					
Daily On-kW		0.36			$0.36
On-kW			3.45		$3.45
Mid-kW					
Off-kW					
SOff-kW					
Max-kW	3.80	3.71			$7.51
Winter					
Customer Charge		$232.74			$232.74
On-kWh					
Mid-kWh	(0.00003)	0.02500	0.14870	0.03624	$0.20991
Off-kWh	(0.00003)	0.01479	0.10434	0.03624	$0.15534
SOff-kWh	(0.00003)	0.03045	0.04613	0.03624	$0.11279
On-kW					
Daily Mid-kW		0.41			$0.41
Mid-kW			1.19		$1.19
Off-kW					
SOff-kW					
Max-kW	3.80	3.71			$7.51

Table8: Illustrative Rates TOU-GS-3 Option S

	TOU-GS-3 Option S				
	Proposed				
	Trans	Distrb	Gen	Other	Total
Summer					
Customer Charge		$1,140.50			$1,140.50
On-kWh	(0.00004)	0.31591	0.28430	0.03457	$0.63475
Mid-kWh	(0.00004)	0.30295	0.08313	0.03457	$0.42061
Off-kWh	(0.00004)	0.08534	0.06733	0.03457	$0.18720
SOff-kWh					
Daily On-kW		0.34			$0.34
On-kW			4.46		$4.46
Mid-kW					
Off-kW					
SOff-kW					
Max-kW	4.23	4.28			$8.51
Winter					
Customer Charge		$1,140.50			$1,140.50
On-kWh					
Mid-kWh	(0.00004)	0.02316	0.13835	0.03457	$0.19604
Off-kWh	(0.00004)	0.01346	0.08076	0.03457	$0.12875
SOff-kWh	(0.00004)	0.02823	0.04438	0.03457	$0.10714
On-kW					
Daily Mid-kW		0.37			$0.37
Mid-kW			1.68		$1.68
Off-kW					
SOff-kW					
Max-kW	4.23	4.28			$8.51

Table 9: Illustrative Rates TOU-8-SEC Option S

	TOU-8-SEC Option S				
	Proposed				
	Trans	Distrb	Gen	Other	Total
Summer					
Customer Charge		$1,113.65			$1,113.65
On-kWh	(0.00004)	0.30677	0.26417	0.03372	$0.60462
Mid-kWh	(0.00004)	0.28858	0.08384	0.03372	$0.40611
Off-kWh	(0.00004)	0.07765	0.06760	0.03372	$0.17893
SOff-kWh					
Daily On-kW		0.31			$0.31
On-kW			4.48		$4.48
Mid-kW					
Off-kW					
SOff-kW					
Max-kW	4.40	4.13			$8.53
Winter					
Customer Charge		$1,113.65			$1,113.65
On-kWh					
Mid-kWh	(0.00004)	0.03061	0.14242	0.03372	$0.20672
Off-kWh	(0.00004)	0.01759	0.08110	0.03372	$0.13237
SOff-kWh	(0.00004)	0.03767	0.04451	0.03372	$0.11586
On-kW					
Daily Mid-kW		0.33			$0.33
Mid-kW			2.00		$2.00
Off-kW					
SOff-kW					
Max-kW	4.40	4.13			$8.53